Compulsory Acquisition Should Only Become an Exception

In legal parlance, agricultural land usually belongs to the state. However, for all practical purposes ownership vests in the person recorded as a tenant. In this sense, agricultural land is the private property of the landholder. Private property is normally transferable by sale and purchase contracts. A lot of agricultural land also gets purchased and sold by such private contracts.

The normal system of free sale and purchase collapses in two situations. First, when the state needs land for a public purpose. The state is powerful and its relationship with small landholders is grossly unequal. Further, it is generally difficult for state authorities to accept the price demanded by the seller and determine, in an accountable and objective manner, the right price. Consequently, barring exceptions, the state does not enter into purchase and sale contracts. Second, whenever private enterprises require large chunks of land for an industrial, infrastructure or residential project, dealing with numerous small holders subjected to restrictive provisions under various laws makes private purchase and sale a messy affair. As a result, larger procurement of land for non-agricultural purposes has been made under the land acquisition laws.

There was another practical problem. Until converted for non-agricultural use, agricultural land purchased remained agricultural and subject to ceilings. The ceilings were small. Consequently, industry or entrepreneurs could not procure agricultural land for their purpose. The Land Acquisition Act, 1894, became the principal instrument of land acquisition for public and private projects after Independence. As development required a good amount of land to be used for non-agricultural purposes, the Act came to be used quite frequently.

Both by design and operation, the Land Acquisition Act worked against the landholder farmer. Land could be acquired for almost any purpose as ‘public purpose’ was widely interpreted in practice. Compensation payable